

Ch 3: Money and Credit

Question Bank | 2M | 3M | 5M

SECTION A - 2 MARKS

Q1. What is barter system? What is its basic feature?

Q2. What is double coincidence of wants? In which system is it essential? *(PYQ 2015)*

Q3. How does money solve the problem of double coincidence of wants? Give one example.

Q4. Why is modern currency accepted as a medium of exchange without any use of its own? *(PYQ 2015)*

Q5. Who issues currency notes in India? On whose behalf are they issued?

Q6. Which bank in India controls the issuance of currency and regulates the credit system? *(PYQ 2024)*

Q7. What are the modern forms of money? State any two.

Q8. What is a demand deposit? Why is it considered money?

Q9. How is money transferred from one bank account to another? Explain briefly. *(PYQ 2016)*

Q10. What is credit? Define with the help of one example. (PYQ 2023)

Q11. What is collateral? Give two examples of assets used as collateral. (PYQ 2023)

Q12. What are the terms of credit? Name any three components. (PYQ 2016)

Q13. What is a debt trap? Give one example. (PYQ 2021)

Q14. Name any four formal sources of credit in India.

Q15. Name any four informal sources of credit in India.

Q16. What is the role of the Reserve Bank of India in supervising banks? Give two points. (PYQ SQP 2021-22)

Q17. Why do banks charge higher interest on loans than they offer on deposits? Give one reason.

Q18. What is a Self Help Group? Who takes most decisions in an SHG? (PYQ 2023)

Q19. In which country was the Grameen Bank started? When was it started?

Q20. What is the Grameen Bank of Bangladesh? How many poor people does it serve?

Q21. Why are poor and rural households still dependent on informal sources of credit? Give two reasons. (PYQ SQP 2022-23)

Q22. Why should credit activities of the informal sector be discouraged? Give two reasons.

Q23. What is the process called when a borrower submits documents and collateral to get a bank loan? (PYQ SQP 2022-23)

Q24. Identify the cheque number on a standard bank cheque. What is the purpose of a cheque number? (PYQ 2024)

Q25. What is the minimum cash balance that banks are required to maintain as per RBI guidelines?

Q26. Give one example each of credit playing a positive role and a negative role.

Q27. What is a cooperative society? How does it help in providing credit to its members?

Q28. What is microfinance? How does it help poor borrowers?

Q29. Why is cheap and affordable credit important for a country's development? Give two points.

Q30. Differentiate between formal and informal sources of credit in one point each.

Q31. What is the rate of interest typically charged by moneylenders compared to banks in rural India?

SECTION B - 3 MARKS

- Q1. Explain any three functions of money. (PYQ 2024 — High Probability)**
- Q2. How does the use of money make exchange easier than barter? Explain with three examples. (PYQ 2022)**
- Q3. Explain any three terms of credit. (PYQ 2016)**
- Q4. Explain the role of the Reserve Bank of India in supervising commercial banks. Give three points. (PYQ SQP 2021-22)**
- Q5. Explain how deposits in banks are beneficial both to the depositors and to the nation. (PYQ 2016)**
- Q6. Why are poor rural households still dependent on informal sources of credit? Give three reasons. (PYQ SQP 2022-23, 2016)**
- Q7. What are the advantages of Self Help Groups for the poor? Explain three points. (PYQ 2023 Compartment)**
- Q8. Explain the working of a Self Help Group. How does it help its members get credit? (PYQ 2023)**
- Q9. Differentiate between formal and informal sources of credit. Give two examples of each. (PYQ)**
- Q10. Explain two different credit situations — one where credit plays a positive role and one where it leads to a debt trap. (PYQ 2016, 2023)**

Q11. Explain any three reasons why the credit activities of the informal sector should be discouraged.

Q12. How do banks mediate between those who have surplus money and those who need money? Explain three steps.

Q13. Explain why cheap and affordable credit is important for the economic development of a country. Give three points.

Q14. Explain the limitations of the barter system. How did the introduction of money overcome these limitations?

Q15. Explain what collateral is. Why do banks insist on collateral before granting loans? Give three points.

Q16. How does a moneylender exploit poor rural borrowers? Explain with three specific examples.

Q17. Describe the conditions under which a poor household may be forced to borrow from informal sources despite high interest rates.

Q18. Explain three ways in which the government and RBI try to expand formal credit in rural areas.

Q19. Explain the role of cooperative societies in providing credit to rural households. Give three points.

Q20. Analyse the loan data: In a village, 60 households borrow from moneylenders at 36% interest and 15 from banks at 12%. What does this indicate about rural credit? (PYQ 2022 source-based)

Q21. Explain three reasons why moneylenders continue to dominate rural credit markets despite charging high interest.

Q22. How does credit become a source of exploitation for the rural poor? Explain three ways.

Q23. Explain the importance of expanding formal sector credit in India. What benefits will it bring to the poor?

Q24. Explain how SHGs help women in rural areas become financially independent. Give three points.

Q25. What is the role of banks in an economy? Explain three functions of commercial banks.

Q26. Explain three differences between formal and informal lenders in terms of interest rates, documentation, and supervision.

Q27. How does the lack of collateral prevent the poor from accessing formal credit? Suggest two solutions.

Q28. Explain three steps that can be taken to reduce the dependence of rural households on moneylenders.

Q29. Describe the working of the Grameen Bank of Bangladesh. What lessons can India learn from it?

Q30. Explain the concept of a demand deposit. How does it function as money? Why is cheque payment more convenient than cash?

Q31. Case study: Salim needs Rs. 20,000 for machine repair. A bank requires collateral and documents and will take one month. A trader offers the same day at 5% monthly interest. What should Salim do? Analyse. (PYQ 2023 case-based)

Q32. Explain three ways in which the RBI ensures that banks give loans not only to profitable businesses but also to small farmers and borrowers.

Q33. Explain why the rate of interest charged by informal lenders is much higher than that of formal lenders. What are the consequences?

Q34. How does the agricultural labourer Mohan fall into a debt trap when he borrows from his landlord at 5% per month and repays through physical labour? (PYQ SQP 2020-21)

Q35. Explain the role of credit in enabling small businesses and entrepreneurs to grow. Give three examples.

Q36. Describe any three examples of assets that rural poor households typically lack and how this prevents them from accessing bank credit.

Q37. How have mobile banking and digital payment systems changed the nature of money and credit in India? Explain three points.

Q38. Explain any three measures that the government has taken to promote financial inclusion in rural India.

Q39. Explain how SHGs differ from traditional moneylenders in terms of interest rates, purpose, and social impact.

Q40. Why is it important for a country to have a well-functioning banking system? Explain three reasons.

Q41. Explain the concept of financial literacy and why it is important for rural and poor households in India.

Q42. Describe how urban and rural households differ in their access to formal sources of credit. What challenges do rural households face?

SECTION C - 5 MARKS

Q1. Compare formal and informal sources of credit in rural India. (PYQ 2024)

Q2. Justify the role of Self Help Groups in the rural economy. (PYQ 2023)

Q3. Explain the importance of credit in development with examples of two different credit situations — one positive and one that leads to a debt trap. (PYQ 2023 — *Most Important*)

Q4. Explain the working and significance of Self Help Groups for women in rural India. How do SHGs help overcome the problem of lack of collateral? (PYQ 2023)

Q5. Explain the role of the Reserve Bank of India in regulating and supervising the credit system in India. Give five specific functions.

Q6. Explain how money has evolved as a medium of exchange. Describe the limitations of the barter system and how money overcame each limitation.

Q7. Explain the terms of credit. Describe the differences in terms of credit between formal and informal lenders in rural India. Give examples.

Q8. "Credit can be both a boon and a bane." Justify this statement with five examples showing credit as positive in some situations and harmful in others.

Q9. Explain the functions of commercial banks in India. How do they mediate between depositors and borrowers? Give five specific points.

Q10. "Poor households are caught in a vicious cycle of debt when they borrow from informal sources." Explain this statement with five points and suggest measures to break this cycle.

Q11. Compare formal and informal sources of credit across five parameters — interest rate, collateral, supervision, documentation, and accessibility. Which is more beneficial for the poor and why?

Q12. Explain how the expansion of formal credit to rural areas can help in the economic development of India. Give five specific benefits.

Q13. Describe the role of cooperative societies, SHGs, and microfinance institutions as alternatives to moneylenders for the rural poor. Compare them across five points.

Q14. Explain the concept of demand deposits and how the banking system creates money through lending. Describe the role of RBI in controlling this process.

Q15. "The credit needs of the rural poor cannot be met only by the formal sector." Explain this statement and suggest five measures to improve credit access for rural households.

Q16. Explain how the functioning of the banking system benefits both depositors and borrowers. What would happen to the economy if banks stopped functioning?

Q17. Describe the impact of high-interest informal credit on the lives of poor farmers and agricultural labourers in India. Give five specific examples and suggest two solutions.

Q18. Explain the role of the Grameen Bank of Bangladesh in meeting the credit needs of the rural poor. What lessons can India learn from this model?

Q19. "Affordable credit is a key driver of development." Explain this statement with five examples covering agriculture, small business, education, housing, and emergency needs.

Q20. Explain how digital banking, mobile payments, and fintech have transformed access to credit in India. What challenges still remain for rural and poor households?

Q21. Describe the evolution of money from barter to currency to demand deposits. Explain the advantages of each stage and why demand deposits are considered the most advanced form of money.

Q22. Explain the working of SHGs in detail — how they are formed, how they collect savings, how they give loans, and what social impact they have on women and rural communities.

Q23. Compare the credit situations of a rich urban businessman and a poor rural farmer in India. How does access to formal credit differ between them and what are the consequences for each?

Q24. "Absence of collateral is one of the biggest barriers to formal credit for the rural poor." Explain this with five points and suggest how microfinance and SHGs help overcome this barrier.

Q25. Explain the importance of financial inclusion in India. What steps has the government taken to bring the unbanked population into the formal credit system? Give five examples.

Q26. Describe a situation where a rural household is forced to borrow from a moneylender despite high interest rates. Trace how this leads to a debt trap and explain what could have prevented it.

